

Weekly Assignment: Annual Report Analysis

Company Selected: Hindustan Unilever Limited (HUL)

HUL was chosen because it is a well-known listed FMCG company with a huge portfolio of brands with a long operating history in India. It also provides adequate monetary details for a fundamental analysis. It's a comprehensive company with business in Home Care, Beauty & Wellbeing, Personal Care and Foods. HUL is also useful for an analysis as it provides operating information in its annual report and also detailed financial statements.

1. What is an Annual Report?

An annual report is a company's yearly update to its shareholders, the public, and regulators. It's way more than just a data dump of numbers.

- **The Financials:** It has the hardcore financials like the balance sheet, income statement, and cash flow statement.
- **Management's Take:** It includes the management's perspective. Management uses it to explain what went right, what challenges they faced (like inflation or supply chain hiccups), and where they plan to steer the company next.
- **ESG & Governance:** It is also where companies flex their sustainability goals and corporate governance standards, which is getting super important for investors.

2. Why is an Annual Report important for an Investment Banker?

For us as investment banker, the annual report is basically the ultimate source of truth. We can't pitch M&A deals, run valuations, or advise on capital raising without digging into it. The reasons are as follows:

- **Building Models:** We need the audited, raw numbers to build out accurate Discounted Cash Flow (DCF) models and valuation metrics. You can't fake audited numbers.
- **Reading Between the Lines:** The Management Discussion and Analysis (MD&A) section is pure gold. It tells us what executives are focusing on—like if they want to expand a specific product line or sell off an underperforming division. That spells out potential deals for our firm.
- **Spotting Red Flags:** The footnotes are where the real detective work happens. We look there to uncover hidden debts, weird accounting policies, or contingent liabilities that could kill a deal.
- **Peer Benchmarking:** We use the data to stack the company up against its rivals. If HUL's margins are dropping but ITC's are rising, that tells a story we need to know.

3. Find the company's Revenue and Net Profit for the last 2 years.

Looking at HUL's recent earnings data, here is a quick breakdown of how they performed over the last couple of years. They managed to push top-line growth despite some tough market conditions.

Financial Year	Revenue (Turnover)	Net Profit (Reported PAT)	Growth Notes
FY 2025-26	Rs. 63,763 Crores	Rs. 10,652 Crores	Solid bottom-line hold
FY 2024-25	Rs. 60,726 Crores	Rs. 10,120 Crores	~5% top-line growth into FY26

4. Calculate or identify the ROE and Debt-Equity Ratio.

Metric	Value (Mar 2026)	Value (Mar 2025)	What it means for us
Return on Equity (ROE)	21.72%	21.23%	Highly efficient at turning shareholder cash into profit.
Debt-to-Equity Ratio	0.03	0.02	Practically zero debt. Very pristine balance sheet.

- **Breaking down the ROE:** HUL is incredibly efficient with shareholder capital. Sitting at an ROE of nearly 22% basically means they generate strong, consistent returns on the equity invested.
- **Breaking down Debt-to-Equity:** Their Debt-to-Equity ratio is essentially zero. HUL is virtually debt-free, funding its operations and massive footprint purely through the cash it generates organically. As an aspiring investment banker, this is the kind of clean balance sheet you love to see because it means their Cost of Capital (WACC) is heavily equity-weighted and very stable.